prices of the agricultural products, which depended on export markets like jute and raw cotton fell steeply. The depression brought down the value of Indian exports from Rs. 311 crores in 1929–1930 to Rs 132 crores in 1932–33. Therefore, the 1930s witnessed the emergence of the Kisan Sabhas which fought for rent reduction, relief from debt traps and even for the abolition of Zamindari.

The only positive impact was on the Indian industrial sector that could use the availability of land at reduced prices and labour at cheap wage rates. The weakening ties with Britain and other capitalist countries created a condition where growth was recorded in some of the Indian industries. Yet only the industries which fed the local consumption thrived.

5.6 Industrial Development in India

The British trade policy took a heavy toll on the indigenous industry. Industrialization of India was not part of British policy. Like other colonies, India was treated as a raw material procurement area and a market for their finished goods.

Despite this, industrial expansion took place in India, because of certain unforeseen circumstances, first during the course of the First World War and then during the Great Depression.



Cowasjee Nanabhoy Davar

The first Indian to start a cotton mill was Cowasjee Nanabhoy Davar (1815–73), a Parsi, in Bombay in 1854. This was known as the Bombay Spinning and Weaving Company. The city's leading traders, mostly Parsis, contributed to this endeavour. The American Civil War (1861–65) was a boon to the cotton farmers. But after the Civil War when Britain continued to import cotton from America, Indian cotton cultivators came to grief. But Europeans started textile mills in India, taking advantage of the cheapness of cotton available. Ahmedabad textiles mills were established by Indian entrepreneurs and both Ahmedabad and Bombay became prominent centres of cotton mills. By 1914, there were 129 spinning, weaving and other cotton mills within Bombay presidency. Between 1875–76 and 1913-14, the number of cotton textile mills in India increased from 47 to 271.



On April 16th, 1853, at 3.35pm, the first train in India left Bori Bunder, in Bombay (now Mumbai), for its destination Thane, 34 kilometres away.

An important landmark in the establishment of industries in India was the expansion of the railways system in India. The first passenger train ran in 1853, connecting Bombay with Thane. By the first decade of the twentieth century, railways was the biggest engineering industry in India. This British-managed industry, run by railway companies, employed 98,723 persons in 1911. The advent of railways and other means of transport and communication facilities helped the development of various industries.

Jute was yet another industry that picked up in India in the late nineteenth and early twentieth century. The first jute mill in Calcutta was founded in 1855. The growth of jute industry was so rapid and by 1914, there were 64 mills in Calcutta Presidency. However, unlike the Bombay textile industry, these mills were owned by Europeans. Though the industrial development in the nineteenth century was mainly confined to very limited sectors like cotton, jute, etc., efforts were made to diversify the sectors. For example, the Bengal Coal Company was set

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